January 28, 2026

TMT: Payments, Processors and IT Services

U.S. Equity Research

Circle Internet Group, Inc. (CRCL)

Neutral | $69.96 | PT $77.00

Opinion Change

Could Polymarket Materially Boost USDC? Upgrade to Neutral

When we initiated CRCL with an Underperform on 6/8/25, the stock was $207. Our worry then was that meager USDC distribution, declining interest rates and fierce competition from Tether's USDT would weigh on the stock. Since **all Polymarket bets are settled in USDC,** we now see USDC on Polymarket as a looming catalyst and believe upgrading to Neutral and PT of $77 is the right call.

Specifically, 2026 is off to a strong start for Polymarket with annualized volumes of ~ $50bn (>3x vs. 2025). We estimate that the current run-rate could drive ~25% potential upside to USDC market cap., with even more upside plausible given the multitude of prediction events ranging from will Jesus return before 2027 to Super Bowl, World Cup & Olympics. Raising 2026/27 USDC in circulation estimates; although we are still below consensus.

is this still relevant in all quarters of 2026

Key Points

After the 2024 U.S. election (which sparked the prediction market craze), these platforms diversified into sports, economics, and pop culture bets which attracted a larger user base and volume. Now, with U.S. regulatory hurdles clearing and Polymarket re-entering the U.S. market, we expect another leap in adoption in 2026. Polymarket volume grew ~102% in 2025 and total transactions increased ~282%.

For Polymarket, **all bets are settled in USDC**, meaning Polymarket's growth will directly fuel USDC growth. We anticipate momentum in 2026 will continue for prediction markets, translating into USDC market cap growth and incremental revenue for Circle (as USDC's issuer), above what we had previously modeled.

Polymarket draws a large share of non-crypto-native users into crypto via event trading, which drives incremental demand for USDC from outside the usual DeFi audience. USDC's market capitalization roughly doubled from ~$30bn in early 2024 to over $60bn by March 2025, and reached ~$75bn by late 2025. While multiple factors drove that growth (regulatory clarity, institutional use, etc.), Polymarket has been a contributor. Looking ahead 1–2 years, we expect Polymarket's continued expansion (especially with U.S. access restored) to add billions in incremental USDC market cap.

So, why just Neutral? Although Polymarket is certainly a potential boost to USDC, this is somewhat offset by other adverse drivers including: Looming rate cuts, rising cost of distribution and intense competition from both stablecoin players like Tether (USDT) and incumbent financial institutions launching their own stablecoins.

Raising Estimates. We are raising our average USDC in circulation estimates for 2026/27 by ~7% and ~21%, respectively, to reflect our analysis below. This in turn, increases our revenue estimates by ~6% and ~21% for those years and EBITDA by ~1% and ~3%.

Valuation

CRCL's peer group (V, MA, COIN, HOOD) currently trades at an average ~26x EBITDA. Given CRCL's dependence on a single macro factor (interest rates) and the potential for competition, we assign a ~21x multiple, a 5-turn discount, to our below-consensus 2027E EBITDA to arrive at our new PT of $77.

MIZUHO SECURITIES USA LLC

Connect With Our Analysts

Dan Dolev | Managing Director
+1 646 949 9599 | Dan.Dolev@mizuhogroup.com

Alexander Jenkins | Senior Associate
+1 212 282 4317 | alexander.jenkins@mizuhogroup.com

Overview

Rating	Neutral (Underperform)
Price	$69.96
Price Target	$77.00 ($70.00)

Key Data

Symbol	CRCL (NYSE)
52-Week Range	$298.99 - $64.00
Market Cap ($mm)	$16,474
Shares Outstanding (mm)	216.5
Average Daily Volume	13,113,805

Source: Bloomberg

Fiscal Year-End: Dec 31

Revenue ($mm)	2025E	2026E Prior	2026E Curr	2027E Prior	2027E Curr
Q1	579A	755E	766E	747E	854E
Q2	658A	748E	781E	773E	914E
Q3	740A	718E	772E	801E	979E
Q4	778E	742E	822E	829E	1,049E
FY	2,754E	2,962E	3,141E	3,150E	3,795E
P/Revenue	5.5x		4.8x		4.0x

Source: Bloomberg

EBITDA ($mm)	2025E		2026E		2027E
FY	556E	648E	656E	878E	906E

Source: Company Data, Mizuho Securities USA Research estimates

Please refer to Page 7 of this report for important disclosure and analyst certification information. Mizuho Securities USA LLC does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the Firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.

The Mizuho View

Investment Thesis

Circle is the sole minter of USDC, a leading dollar-collateralized stablecoin. USDC - CRCL's stablecoin - has shown momentum, and we now believe CRCL's valuation appropriately reflects key risks to the earnings over the medium-term. Risks still remain and include: looming interest rate cuts, relatively stagnant USDC circulation, and structurally high (and growing) distribution costs. Over time, we also worry that the advancement of regulation like the GENIUS Act invites more competition and raises commoditization risk for dollar-based stablecoins like USDC.

Base Case/PT

In our base case, we now model average USDC in circulation to be ~119mn at the end of 2027 and interest rate cuts in line with current consensus expectations. This implies CRCL reserve income of ~$3.6bn and EBITDA of ~$906mn in 2027. CRCL's peer group (V, MA, COIN, HOOD) currently trades at an average ~26x EBITDA. Given CRCL's dependence on a single macro factor (interest rates) and the potential for competition, we assign a ~21x multiple, a 5-turn discount, to our below-consensus 2027E EBITDA to arrive at our PT of $77.

Bull Case/PT

In our bull case, we contemplate faster USDC supply growth and modestly higher interest rates vs. current expectations. With a 24x multiple (3-turns higher) and ~15% upside to our base EBITDA estimate, this implies a bull case PT of $96.

Bear Case/PT

In our bear case, we contemplate slower-than-anticipated USDC growth and lower interest rates vs. our bull case. At a lower multiple (~18x, below each name in our peer group), this implies a bear case PT of $56.

Risks

Risks to our thesis include: Upside: USDC dominates in stablecoin payments, which could drive a sharp increase in circulation and share gains from USDT. Interest rates could remain elevated over the medium-term, which could boost CRCL's reserve income. Better terms with distribution partners, which could help CRCL's net revenue margin. Traction in CRCL's non-reserve income revenue streams. Downside: More competition from USDT, rates decline faster, Bitcoin prices decline further.

How Do We Project Incremental Upside?

For Polymarket, all bets are settled in USDC, meaning Polymarket's growth will directly fuel stablecoin demand (specifically USDC). We anticipate momentum in 2026 will continue for prediction markets, translating into USDC market cap growth and incremental revenue for Circle (as USDC's issuer), above what we had previously modeled.

Our incremental USDC calculation (Exhibit 1) shows the additional market cap generated by Polymarket's elevated transaction volume.

We use the turnover ratio in order to forecast incremental USDC in circulation. Specifically, the turnover ratio measures how many times each USDC token is used in transactions over a given period (we used a year). In 2025, each USDC token changed hands about ~101x. Higher turnover means the same liquidity supports more activity (this has trended higher as use cases have come online for stablecoins).

Specifically, in Exhibit 1 we highlight several possible outcomes. For example:

- ~$50bn of Polymarket volume (which is the annualized total through the first few weeks of the year and might end up being conservative) implies ~$20bn of incremental liquidity - assuming 2.5% share (Polymarket vs. USDC) and maintain the turnover ratio or ($50/2.5%)/101 = $20bn of incremental USDC from $75bn today to $95bn total or ~25% upside.
- Alternatively, ~$100bn of volume in 2026 (see scenario 3 below) would equate to ~$40bn of incremental USDC liquidity and means the market cap would increase by ~52%, assuming all else stays the same.
- We note that if Polymarket's share of USDC volume increases, the incremental USDC will be less impactful as we are maintaining Polymarket's current (rough) share and the current USDC turnover ratio.

Exhibit 1 - USDC Marketcap vs. Polymarket Volume

USDC Market Cap & Vol.

Year	USDC Volume ($bn)	Turnover Ratio		Avg USDC Mkt Cap ($bn)
2022	$2,190	43.9		$50
2023	$2,550	83.4		$31
2024	$4,060	121.7		$33
2025	$6,560	101.2		$65
2026				$75

Forward Scenario Analysis

Scenario	Polymarket Vol. ($bn/year)	PolyMarket Share (%) of USDC Vol.	Turnover Ratio	Incremental USDC ($bn)	Implied USDC Cap ($bn)	% Upside to Current Cap.
1	25	2.5	101.2	$10	$85	13%
2	50	2.5	101.2	$20	$95	26%
3	75	2.5	101.2	$30	$105	39%
4	100	2.5	101.2	$40	$115	52%
5	125	2.5	101.2	$49	$125	66%

Source: Visa, CoinGecko, Dune, MSUSA research

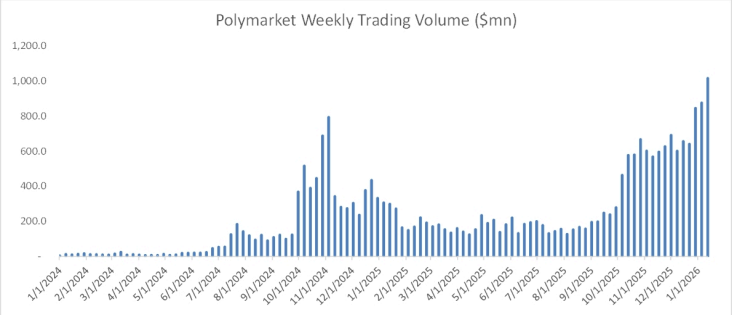
Polymarket is Growing Rapidly, There are a Few Reasons for This

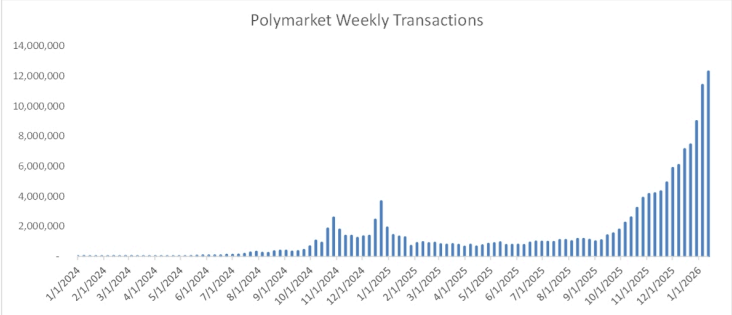
A big part of the Polymarket story is regulatory normalization, which has shifted from existential risk to a more qualified asset for the company. After an earlier CFTC enforcement action that forced the platform to block U.S. users and wind down non-compliant markets in 2022, Polymarket pursued a multi-year strategy to reenter the U.S. on regulated rails.

After the 2024 election drove several billion dollars of notional trading interest to prediction markets, which validated the idea that event markets can serve as real-time sentiment indexes, these companies have leaned hard into other markets (specifically sports).

In 2025, total volume on Polymarket grew ~102% from ~$7.6bn to ~$15.4bn and if we annualize the first few weeks of 2026, that would equate to over ~$50bn of total volume. Also, if we look at the total number of transactions on the platform, that grew from ~518k to ~1,979k in 2025, which was ~282% growth y/y.

Exhibit 2 - Polymarket Growth





Source: Dune, MSUSA research

Events That Will Drive Prediction Market Volume In 2026

- Major Sports Calendar - sports markets repeat weekly, settle quickly, and create high churn.
  - Super Bowl - single day/US focus
  - March Madness - sustained multi-week liquidity
  - NBA playoffs - sustained multi-week liquidity
  - World Cup - global interest
- U.S. Monetary Policy and Macro Data - most liquid non-sports category.
  - FOMC rate decisions
  - CPI and core inflation prints
- U.S. Midterm Elections
  - Party control of House and Senate
  - Outcomes in swing districts
- Crypto Native Narratives
  - BTC and ETH price thresholds
  - Regulatory milestones tied to U.S. legislation

Exhibit 3 - Comp Sheet Shows CRCL is Still Pricey on a Rev. Basis vs. Peers

				EV / Revenue			EV / EBITDA		
Company	Ticker	Price	EV (BBG)	CY25E	CY26E	CY27E	CY25E	CY26E	CY27E
Visa	V	$ 325.26	$ 638,885	16.0x	14.4x	13.1x	22.6x	20.4x	18.5x
Mastercard	MA	$ 520.41	$ 475,676	14.5x	12.9x	11.5x	23.3x	20.6x	18.2x
Coinbase	COIN	$ 210.83	$ 54,841	7.6x	6.7x	5.9x	34.3x	24.1x	18.6x
Robinhood	HOOD	$ 105.24	$ 99,646	22.0x	17.8x	15.4x	39.2x	29.4x	25.3x
Circle	CRCL	$ 69.96	$ 15,289	15.9x	16.0x	13.4x	27.5x	23.3x	16.9x
			Average	**15.0x**	**12.9x**	**11.5x**	**29.8x**	**23.6x**	**20.2x**
			Median	**15.2x**	**13.6x**	**12.3x**	**28.8x**	**22.4x**	**18.6x**

(Bloomberg Consensus / CRCL Estimates are MSUSA)				Revenue			3 Yr Rev	EBITDA		
Company	Ticker	Price	EV (BBG)	CY25E	CY26E	CY27E	CAGR	CY25E	CY26E	CY27E
Visa	V	$ 325.26	$ 638,885	$ 40,000	$ 44,451	$ 48,863	10.8%	$ 28,314	$ 31,252	$ 34,465
Mastercard	MA	$ 520.41	$ 475,676	$ 32,767	$ 36,862	$ 41,311	13.6%	$ 20,382	$ 23,059	$ 26,071
Coinbase	COIN	$ 210.83	$ 54,841	$ 7,248	$ 8,228	$ 9,308	12.3%	$ 1,599	$ 2,276	$ 2,942
Robinhood	HOOD	$ 105.24	$ 99,646	$ 4,524	$ 5,607	$ 6,479	30.0%	$ 2,544	$ 3,388	$ 3,934
Circle	CRCL	$ 69.96	$ 15,289	$ 959	$ 955	$ 1,137	20.5%	$ 556	$ 656	$ 906

Source: Bloomberg, MSUSA research

Financials

Exhibit 4 - CRCL Model

CRCL Select Financial Information (2024 - 2027 E)

$ in millions	1Q25	2Q25	3Q25 E	4Q25 E	2025 E	1Q26 E	2Q26 E	3Q26 E	4Q26 E	2026 E	2027 E
Average USDC	54,136	61,039	67,800	75,885	60,964	80,842	86,582	92,729	99,313	90,394	118,932
% Y/Y Growth	93%	86%	96%	99%	83%	49%	42%	37%	31%	48%	32%
% Q/Q Growth	42%	13%	11%	12%		7%	7%	7%	7%		
Ending USDC	59,976	61,333	73,700	78,070	78,070	83,613	89,550	95,908	102,717	102,717	135,146
% Y/Y Growth	85%	90%	107%	78%	78%	39%	46%	30%	32%	32%	32%
% Q/Q Growth	37%	2%	20%	6%		7%	7%	7%	7%		
Reserve Return Rate	4.16%	4.14%	4.20%	3.84%	4.09%	3.50%	3.33%	3.06%	3.04%	3.23%	2.94%
Reserve Income	558	634	711	755	2,658	734	747	735	782	2,997	3,606
Other Revenue	21	24	29	23	96	32	35	37	40	144	189
Total Revenue	579	658	740	778	2,754	766	781	772	822	3,141	3,795
Distribution & Transaction Costs	347	406	447	498	1,699	499	509	501	534	2,043	2,469
Other Costs	0	0	0	0	2	0	0	0	0	2	2
Total Distributuon & Txn. Costs	348	407	448	499	1,701	499	509	502	535	2,045	2,471
Net Reserve Revenue	211	228	264	257	959	235	238	234	248	955	1,137
% Y/Y Growth	34%				48%	11%	5%	-11%	-3%	0%	10%
as % of Reserve Income	38%	36%	37%	34%	36%	32%	32%	32%	32%	32%	32%
Compensation	76	503	129	136	844	107	109	108	115	440	531
General and Administrative	31	43	45	48	167	46	47	46	49	188	114
IT Infrastructure	8	9	9	10	36	10	10	10	10	40	48
Marketing	4	8	6	6	23	6	6	6	6	24	29
Other Operating Expenses	20	14	21	24	79	24	24	24	26	98	118
GAAP Operating Income	93	(326)	81	55	(96)	74	76	76	81	307	484
as % of Net Revenue	44%	-143%	31%	22%	-10%	32%	32%	33%	33%	32%	43%
as % of Total Revenue	16%	-49%	11%	7%	-3%	10%	10%	10%	10%	10%	13%
Adjusted EBITDA	122	126	166	142	556	159	163	162	172	656	906
as % of Net Revenue	58%	55%	63%	55%	58%	68%	68%	69%	69%	69%	80%
as % of Total Revenue	21%	19%	23%	18%	20%	21%	21%	21%	21%	21%	24%

Source: Company reports, MSUSA research

Companies Mentioned (prices as of 1/27/2026)
Coinbase Global, Inc. (COIN- Neutral $210.83)
Robinhood Markets, Inc. (HOOD- Outperform $105.24)
Mastercard Incorporated (MA- Outperform $520.41)
Visa Inc. (V- Outperform $325.26)

Important Disclosures

The disclosures for the subject companies of this report as well as the disclosures for Mizuho Securities USA LLC entire coverage universe can be found at https://msusa.bluematrix.com/sellside/Disclosures.action or obtained by contacting EQSupervisoryAnalystUS@mizuhogroup.com or via postal mail at Equity Research Editorial Department, Mizuho Securities USA LLC, 1271 Avenue of the Americas, 2nd FL, New York NY, 10020.

Investment Risks and Valuation Methods can be located in the following section of this research report: Base Case PT and Key Risks.

Receipt of Compensation

Mizuho Securities USA LLC and or its affiliates makes a market in the following securities: Coinbase Global, Inc. and Robinhood Markets, Inc.
Mizuho Securities USA LLC and or its affiliates has received compensation for investment banking services for Robinhood Markets, Inc. in the past 12 months.
Mizuho Securities USA LLC and or its affiliates has managed or co-managed a public offering of securities for Robinhood Markets, Inc. in the past 12 months.
Mizuho Securities USA LLC and or its affiliates have provided investment banking services for Robinhood Markets, Inc. who is or was a client in the past 12 months.

Regulation Analyst Certification (AC)

I, Dan Dolev, hereby certify that the views expressed in this research report accurately reflect my personal views about any and all the subject companies. No part of my compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

Rating Definitions

As of 6/21/2024, Mizuho Securities USA (MSUSA) uses a relative rating system in which stocks are rated as Outperform, Neutral, or Underperform (***see definitions below***) relative to other companies covered by the analyst or a team of analysts that are deemed to be in the same industry (the "relevant industry coverage universe"). Investors should read the research report in its entirety, including the definitions of all ratings, and not infer its contents from the rating alone.

Investment ratings are based on the following definitions: The expected total return calculation includes anticipated dividend yield.

Outperform (O): The stock's total return is expected to outperform the unweighted, expected total return of the analyst's industry coverage universe over the next 12 months.

Neutral (N): The stock's total return is expected to perform in line with the unweighted, expected total return of the analyst's industry coverage universe over the next 12 months.

Underperform (U): The stock's total return is expected to underperform the unweighted, expected total return of the analyst's industry coverage universe over the next 12 months.

Restricted (R): In certain circumstances, MSUSA policy and/or applicable securities regulations preclude certain types of communications, including investment recommendations, during the course of Mizuho's engagement in certain transactions and in certain other circumstances.

Rating Suspended (RS): The rating and target price have been temporarily suspended due to market events that made coverage impracticable or to comply with applicable regulations and/or firm policies in certain circumstances.

Not Covered (NC): MSUSA does not cover the company.

For disclosure purposes only (NYSE and FINRA ratings distribution requirements), our Outperform, Neutral and Underperform ratings are displayed as Buy, Hold and Sell, respectively.

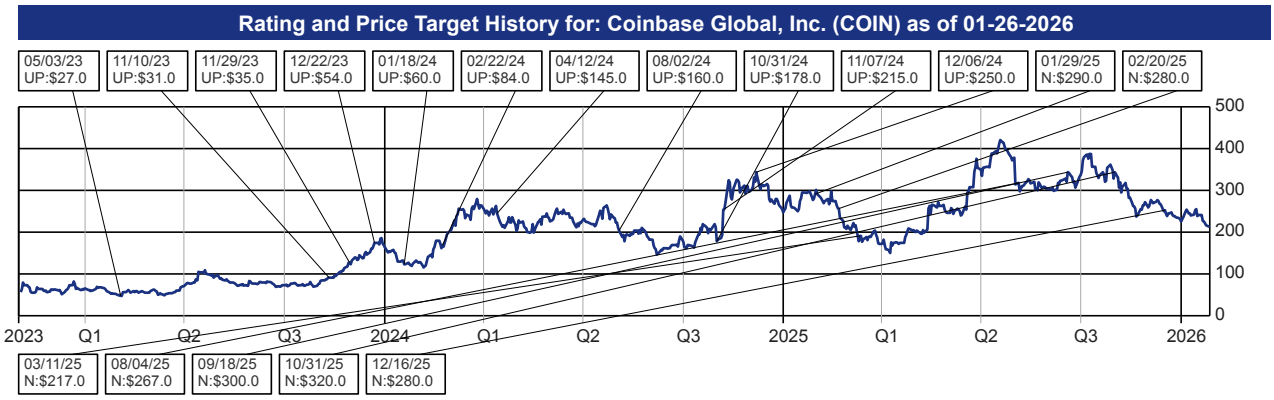
Prior to 6/21/24, MSUSA's ratings were Buy, Neutral and Underperform.

Rating Distribution

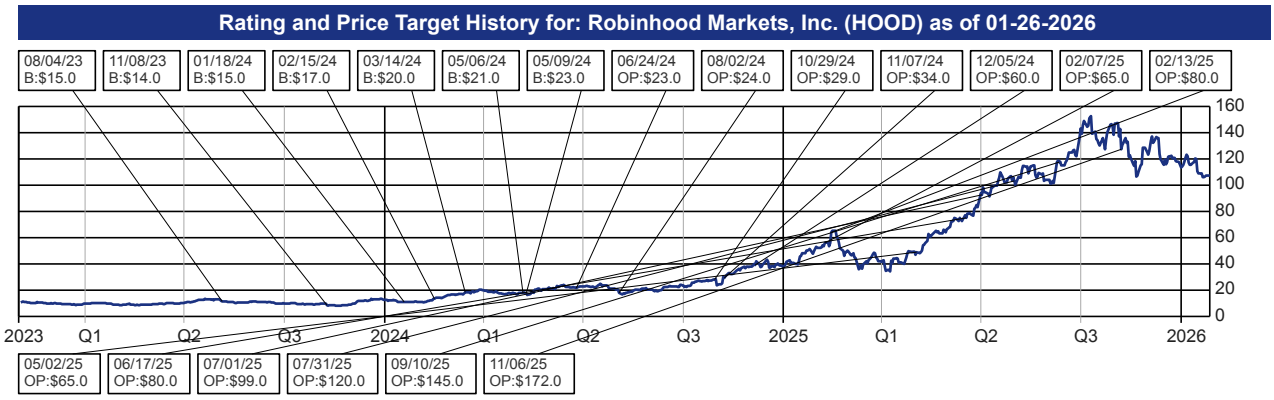
(As of January 27)	% of coverage	IB service past 12 mo
Buy (Outperform)	60.59%	53.93%
Hold (Neutral)	35.30%	47.44%
Sell (Underperform)	4.11%	48.00%

For disclosure purposes only (NYSE and FINRA ratings distribution requirements), our Outperform, Neutral and Underperform ratings are displayed as Buy, Hold and Sell, respectively.

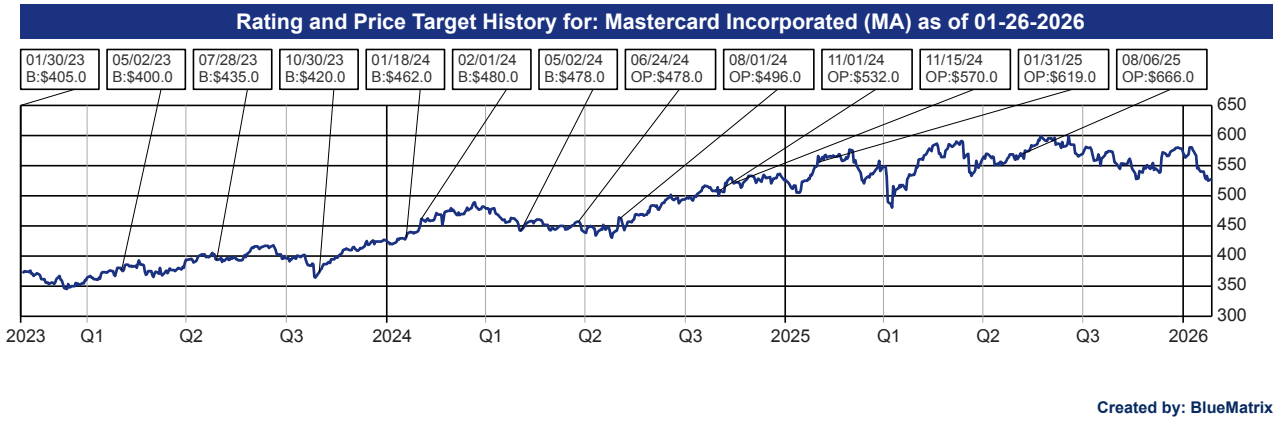
Created by: BlueMatrix

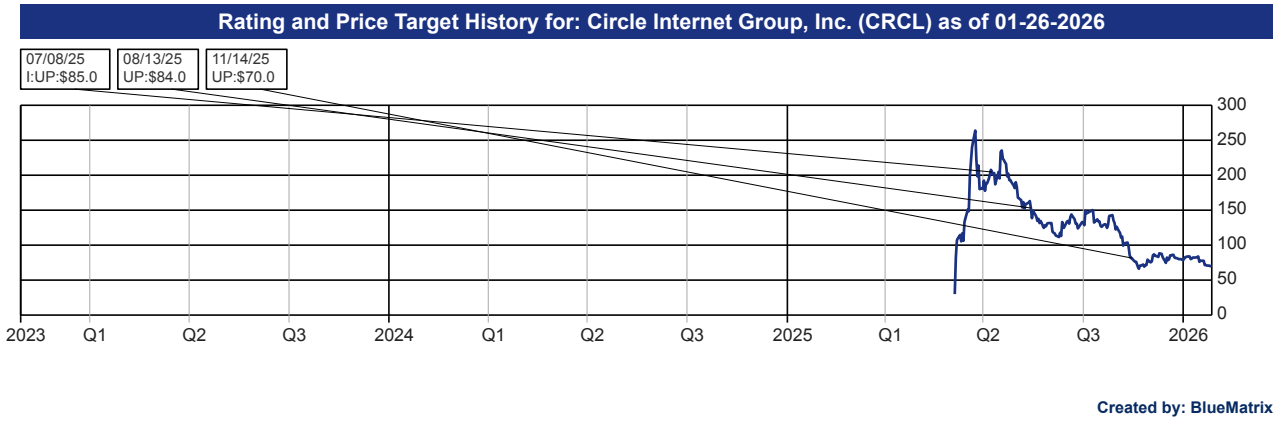


Created by: BlueMatrix



Created by: BlueMatrix





For additional information: Please log on to http://www.mizuhosecurities.com/us or write to Mizuho Securities USA LLC 1271 Avenue of the Americas, 2nd FL, New York, NY 10020.

Disclaimers

This report has been prepared by Mizuho Securities USA LLC ("MSUSA"), a subsidiary of Mizuho Americas LLC, solely for the purpose of supplying information to the clients of MSUSA and/or its affiliates to whom it is distributed. This report is not, and should not be construed as, a solicitation or offer to buy or sell any securities or related financial products.

This report has been prepared by MSUSA solely from publicly available information. The information contained herein is believed to be reliable but has not been independently verified. MSUSA makes no guarantee, representation or warranty, and MSUSA, MHSC and/or their affiliates, directors, employees or agents accept no responsibility or liability whatsoever as to the accuracy, completeness or appropriateness of such information or for any loss or damage arising from the use or further communication of this report or any part of it. Information contained herein may not be current due to, among other things, changes in the financial markets or economic environment. Opinions reflected in this report are subject to change without notice.

This report does not constitute, and should not be used as a substitute for, tax, legal or investment advice. The report has been prepared without regard to the individual financial circumstances, needs or objectives of persons who receive it. The securities and investments related to the securities discussed in this report may not be suitable for all investors. Readers should independently evaluate particular investments and strategies, and seek the advice of a financial adviser before making any investment or entering into any transaction in relation to the securities mentioned in this report.

MSUSA has no legal responsibility to any investor who directly or indirectly receives this material. Investment decisions are to be made by and remain as the sole responsibility of the investor. Investment involves risks. The price of securities may go down as well as up, and under certain circumstances investors may sustain total loss of investment. Past performance should not be taken as an indication or guarantee of future performance. Unless otherwise attributed, forecasts of future performance represent analysts' estimates based on factors they consider relevant. Actual performance may vary. Consequently, no express or implied warranty can be made regarding future performance.

Any references in this report to Mizuho Financial Group, Inc. ("MHFG"), MHSC and/or its affiliates are based only on publicly available information. The authors of this report are prohibited from using or even obtaining any insider information. As a direct subsidiary of Mizuho Americas LLC and indirect subsidiary of MHFG, MSUSA does not, as a matter of corporate policy, cover MHFG or MHSC for investment recommendation purposes.

MSUSA or other companies affiliated with MHFG, Mizuho Americas LLC or MHSC, together with their respective directors and officers, may have or take positions in the securities mentioned in this report, or derivatives of such securities or other securities issued by companies mentioned in this report, for their own account or the accounts of others, or enter into transactions contrary to any recommendations contained herein, and also may perform or seek to perform broking and other investment or securities related services for the companies mentioned in this report as well as other parties generally.

Restrictions on Distribution

This report is not directed to, or intended for distribution to or use by, any person who is a citizen or resident of, or entity located in, any locality, territory, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to or restricted by law or regulation. Persons or entities into whose possession this report comes should inform themselves about and observe such restrictions.

United States: Mizuho Securities USA LLC, a subsidiary of Mizuho Americas LLC, 1271 Avenue of the Americas, 2nd Floor, New York, NY 10020, USA, contact number +1-212-209-9300, distributes or approves the distribution of this report in the United States and takes responsibility for it. Any transaction by a US investor resulting from the information contained in this report may be effected only through MSUSA. Interested US investors should contact their MSUSA sales representative.

United Kingdom/Germany/European Economic Area: This report is distributed in the United Kingdom by Mizuho International plc (MHI), Mizuho House, 30 Old Bailey, London EC4M 7AU. MHI is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority and is a member of the London Stock Exchange. This report is distributed in Germany by Mizuho Securities Europe GmbH (MHEU), Taunustor 1, 60310 Frankfurt, Germany. MHEU is authorised and regulated by the Bundesanstalt für Finanzdienstleistungsaufsicht (BaFin). This report may be distributed in other member states of the European Economic Area by MHI and MHEU. For the avoidance of doubt this report is not intended for persons who are Retail Clients within the meaning of the FCA's or the BaFin's rules. Details of organizational and administrative controls for the prevention and avoidance of conflicts of interest can be found at https://www.mizuhogroup.com/emea/who-we-are/governance/mizuho-international-plc-legal-and-compliance/legal-disclosures.

Japan: This report is distributed in Japan by Mizuho Securities Co., Ltd. ("MHSC"), Otemachi First Square Otemachi 1-chome, Chiyoda-ku, Tokyo 100-0004, Japan. Registered Financial Instruments Firm, No. 94 (Kinsho), issued by the Director, Kanto Local Finance Bureau. MHSC is a member of the Japan Securities Dealers Association, the Japan Securities Investment Advisers Association and the Financial Futures Association of Japan, and the Type II Financial Instruments Firms Association.

Singapore: This report is distributed in Singapore by Mizuho Securities (Singapore) Pte. Ltd. ("MHSS"), a holder of a capital markets services license and an exempt financial adviser regulated by the Monetary Authority of Singapore. MHSS may distribute analyses or reports produced by its affiliates or other foreign research houses pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. This report is only intended for distribution to "institutional investors", "accredited investors" or "expert investors", as defined under the Financial Advisers Regulations. Singapore recipients of this report should contact MHSS at 12 Marina View, #10-01A Asia Square Tower 2, Singapore 018961, for any matter arising from, or in connection with, this report.

Hong Kong: This report is distributed in Hong Kong by Mizuho Securities Asia Ltd. ('MHSA'), 14 - 15/F, K11 Atelier, 18 Salisbury Road, Tsim Sha Tsui, Kowloon, Hong Kong, a member of MHFG. MHSA is licensed and regulated by the Hong Kong Securities and Futures Commission. This report has been prepared for "professional investors" as defined in the Hong Kong Securities and Futures Ordinance. This report has been prepared in accordance with MHSA's internal conflict of interest management policies. Details of MHSA's organizational and administrative controls for the prevention and avoidance of conflicts of interest are available upon request.

Australia: This report is being distributed in Australia by MHSA, which is exempted from the requirement to hold an Australian financial services license under the Corporation Act 2001 ("CA") in respect of the financial services provided to the recipients. MHSA is regulated by the Securities and Futures Commission under the laws of Hong Kong, which differ from Australian laws. Distribution of this report is intended only for recipients who are "wholesale clients" within the meaning of the CA.

Dubai: Mizuho International plc (DIFC Branch) is regulated by the Dubai Financial Services Authority and is authorized to provide financial services to Professional Clients and Market Counterparties only as defined by the DFSA rulebook. Mizuho International plc (DIFC Branch) registered address is Unit 501, Level 5, The Gate Building, East Wing, Dubai International Financial Centre, Dubai, U.A.E., Tel. +971 4 279 4400.

If you do not wish to receive our reports in the future, please contact your sales person and request to be removed from receiving this distribution.

© Mizuho Securities USA LLC. All Rights Reserved 2026. This document may not be altered, reproduced (including for purposes of training artificial intelligence models or tools), redistributed, passed on to any other party or used to create derivative works, in whole or in part, without the prior written consent of Mizuho Securities USA LLC.